

SLOVAK REPUBLIC 2013

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1. Overview of the Tax-Benefit system

On 1 January 2004 the following went in to force:

Act No. 599/2003 Coll. on assistance in material need and on amending of some acts

Act No. 461/2003 Coll. on social insurance.

On 1 February 2004: Act No. 5/2004 Coll. on employment service went into force.

On 1 January 2005: Act. No. 43/2004 Coll. on the old-age pension saving system went in to force

Subsystems of social insurance

a) *sickness insurance* as insurance in case of loss or decrease of income from gainful activities and to make sure for an income due to temporary incapacity for work, pregnancy and maternity,

b) *pension insurance*, particularly

1. old-age insurance as insurance to make sure for an income in old age and in case of demise,

2. disability insurance as insurance in case of decrease in ability to carry out gainful activities due

Reference date for all information is **July 1st 2013**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

to long-term adverse health condition of insuree and in case of demise,

- c) *accident insurance* as insurance in case of damaging the health or demise due to a working accident, service accident (hereinafter referred to only as „working accident“) and occupational disease,
- d) *guarantee insurance* as insurance in case of insolvency of employer to meet claims of employee,
- e) *unemployment insurance* as insurance in case of losing income of employee's activities due to unemployment and to make sure for an income due to unemployment.

Social insurance is carried out by the Social Insurance Agency. The Social Insurance Agency is a public-service organisation established to carry out social insurance.

1.1. *Average Worker wage (AW)*

As from 1.1.2009 Slovakia has joined the Euro zone; the national currency became the Euro (EUR). In 2013 the average worker earned EUR 10 015 (Secretariat estimate).

2. Unemployment Insurance

The employee has mandatory unemployment insurance and self-employed person could be voluntary insured person in unemployment.

The natural person having attained 16 years of age may be voluntarily insured in unemployment, who has permanent residence, permit for transient residence or permit for permanent residence on the territory of the Slovak Republic.

Conditions of voluntary unemployment insurance are:

- a) the natural person has to be at the same time also voluntarily insured in sickness (voluntary sickness insurance) and voluntarily insured in retirement (voluntary pension insurance) ,
- b) self-employed person who has permanent residence, permit for transient residence or permit for permanent residence on the territory of the Slovak Republic and
 - 1. is compulsory insured in sickness (mandatory sickness insurance) and compulsory insured in retirement (mandatory pension insurance) or
 - 2. has interrupted mandatory sickness insurance and mandatory pension insurance of self-employed person (by reason mentioned in the first sentence of Article 26 paragraph 4 of the Act on Social Insurance).

Unemployment insurance does not apply for recipients of disability benefit for the reason of decrease in ability to carry out gainful activities by more than 70%, for recipients of old-age benefit and early old-age benefit, for recipients of disability benefit who reach pensionable age and for specific categories of employees (prosecutor, etc.). The recipients of disability benefit with the decrease in ability to carry out gainful activities between 41-70% (employees or voluntary insured persons) are covered by unemployment insurance and have the same conditions like other employees until they reach pensionable age. The contribution rate is 1% for employee, 1% for employer and 2% for voluntary insured person.

The payment rate is 50 % of daily assessment basis.

There is no any preference for payment rates or period paid out of benefit depend on the ages or family status of claimant.

2.1 Conditions for receipt

Act on Social Insurance does not define reason of unemployment of insured person that mean same rules are used for redundancy person who has got notice from employer and for person who has given resignation at work.

The most important condition for pay out unemployment benefit is staying in register of jobseekers. According the Act on Employment Services the jobseeker is obligated to cooperate with the Labour Office, active looking for job and available in 3 days time interval on request of the Labour Office.

2.1.1 Employment conditions

Insuree is entitled to unemployment benefit, if he had unemployment insurance for at least two years within the past three years before being included to registry of unemployed persons looking for employment or for at least two years within the past four years before being included to registry of unemployed persons looking for employment in case of seasonal workers (i.e. workers with term

contract). For the insuree, who met conditions of claiming unemployment benefit, the claim to unemployment benefit arises since the day of being included into the registry of unemployed persons.

2.1.2 *Contribution conditions*

The same conditions as introduced in previous article. An eligibility criterion of necessary number of years for unemployment insurance is also applying for voluntary insurance.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

After the law-settled conditions were met the amount of unemployment benefit is 50% of the daily assessment basis. Daily assessment basis (DAB) to determine the amount of unemployment benefit is a quotient of the sum of assessment bases (AB) to pay premiums for unemployment insurance (the sums from which the insurance was paid) attained by the insuree in the conclusive period and the number of days of the conclusive period.

$$DAB = \frac{\sum AB \text{ in determining period}}{\text{number of days of determining period}}$$

Calculation of unemployment benefit in one month:

$$50\% \times DAB \times \text{number of days in month}$$

The average unemployment benefit paid in 2012 (second half) amounts to EUR 323,05 per month. The average unemployment benefit paid in 2013 (first half) amounts to EUR 322,22 per month.

Since 1st January 2006 the maximum amount of unemployment benefit is not limited by the daily assessment basis and it depends on the sum of premiums that one pays for unemployment insurance. So the sum of the unemployment benefit depends only on the parameters used in the formula for the calculation of this benefit. **However indirectly maximum amount of benefit was in time period 2006-2007 determined by maximum assessment bases for paying contribution. Since 1st January 2012 maximum ceiling was increased from 4-times the average wage in the SR economy to 5-times the average wage in the SR economy. Maximum daily assessment base (MDAB) for calculation of benefit is determined as follows:**

$$MDAB = \frac{\text{2-times general assessment bases}}{365}$$

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

One of conditions of claim to an unemployment benefit is including to registry of unemployed persons looking for employment (register of jobseekers).

2.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

Insuree is not entitled to disbursement of unemployment benefit in the period of time in which he is entitled for payment of sickness benefits, nursing benefits, maternity allowances and parental allowance.

When the retroactive unemployment benefit is approved also for a period when the beneficiary was paid the material need benefit and the additions to this benefit, the approved unemployment benefit for this period will be reckoned with the material need benefit which has been already paid.

2.4 Benefit duration and waiting periods

- Where the unemployment benefit has been paid to the beneficiary for the entire supported period of unemployment (6 months or 4 months for seasonal workers), a new entitlement to this benefit shall arise soonest after the expiration of two years since the day when the preceding entitlement finished after the condition of at least two years of unemployment insurance over the last three years and in case of seasonal workers over the last four years before entry to the Jobseekers Register has been satisfied;
- Where the beneficiary has not been paid unemployment benefit for the entire supported period of unemployment (6 months or 4 months for seasonal workers) and the insured person was discarded from the Jobseekers Register because of the beginning of the activity as the employee and within a period shorter than 2 years, the entitlement to the payment of unemployment benefit shall arise at the amount of the previous unemployment benefit, and shall terminate upon the lapse of the remaining part of the supported period of unemployment;
- Where the beneficiary
 - has been paid unemployment benefit at least 3 months
 - has been put off the Jobseekers Register on account of undertaking the activity of an employee
 - has claimed in written the lump-sum payment of 50% of the unemployment benefit for the remaining part of the supported period

the insuree is entitled to 50 % of the rest of the untaken unemployment benefit.

Social Insurance Agency is obligated to accept every application form regardless of claimant has right on this benefit or not. However first application form on unemployment benefit is sent through the Labour Office as part of registration procedure of new jobseeker. Social Insurance Agency sent in decision the supported period - client knows this reality and he consider if he has any other question (after expired or possibility to continue of pay out benefit) he rather use verbal client information services of Social Insurance Agency.

2.5 Treatment of particular groups

2.5.1 Young persons

Entitlement conditions for the unemployment benefit and the benefit duration are uniform for every natural person, except of recipients of disability benefit for the reason of decrease in ability to carry out

gainful activities by more than 70%, recipients of disability benefit who reach pensionable age, recipients of old-age benefit and early old-age benefit and specific categories of employees (prosecutor, etc.)

2.5.2 *Older workers*

Entitlement conditions for the unemployment benefit and the benefit duration are uniform for every natural person except of recipients of disability benefit for the reason of decrease in ability to carry out gainful activities by more than 70%, recipients of disability benefit who reach pensionable age, recipients of old-age benefit and early old-age benefit and specific categories of employees (prosecutor, etc.). The insuree must satisfy the statutory conditions (irrespective of whether s/he was insured for unemployment obligatorily or voluntarily).

2.5.3 *Others if applicable*

There are no special rules for lone parents and immigrants.

Unemployment insurance is mandatory also for part-time employees. They have same eligibility criteria for benefit, payment rate and contribution rate such as employees.

For self-employed persons is subsystem of unemployment insurance voluntary. They could become voluntary insured persons.

The natural person having attained 16 years of age may be voluntarily insured in unemployment, who has permanent residence, permit for transient residence or permit for permanent residence on the territory of the Slovak Republic.

Conditions of voluntary unemployment insurance are:

- a) the natural person has to be at the same time also voluntarily insured in sickness (voluntary sickness insurance) and voluntarily insured in retirement (voluntary pension insurance) ,
- b) self employed person who has permanent residence, permit for transient residence or permit for permanent residence on the territory of the Slovak Republic and
 1. is compulsory insured in sickness (mandatory sickness insurance) and compulsory insured in retirement (mandatory pension insurance) or
 2. has interrupted mandatory sickness insurance and mandatory pension insurance of self employed person (by reason mentioned in the first sentence of Article 26 paragraph 4 of the Act on Social Insurance).

Unemployment insurance does not apply for recipients of disability benefit for the reason of decrease in ability to carry out gainful activities by more than 70% and for recipients of disability benefit who reach pensionable age. (Unemployment insurance does not apply also for recipients of old-age benefit and early old-age benefit and for specific categories of employees (prosecutor, etc.).) The recipients of disability benefit with the decrease in ability to carry out gainful activities between 40-70% (employees or voluntary insured persons) are covered by unemployment insurance until they reach pensionable age and have the same conditions like other employees.

3. Unemployment assistance

Active measures of the labour market provide

- raising employability of job seekers and persons interested in employment through education, preparation for the labour market, professional consultancy, graduate practice, activation activity, movement toward work
- creation of new jobs

The active policy of the labour market in terms of Act No. 5/2004 Coll. on employment service is being realized through active measures of the labour market which have also financial dimension in providing the contributions (see **Annex**).

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.1.1 *Irregular additional payments*

3.2.1.2 *Obligations of family members*

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration and waiting periods

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

4.1 Conditions for receipt

On 1 January 2004 the Act No. 599/2003 Coll. on assistance in material need and on amending of some acts went into force, which in part superseded the existing Act on social assistance in the section on assistance in material need.

The Act on assistance in material need guarantees a citizen, who is in material need, provision for basic living conditions through the benefit in material need. In addition to the assistance in material need, the act makes provision for allowances to the benefit, namely the health care allowance, housing allowance, activation allowance and protective allowance, which are component parts of the assistance in material need.

The Act on material need defines material need as a state, in which the income of the citizen and the natural persons jointly assessed with the citizen, does not achieve the subsistence minimum, and the citizen and the jointly assessed natural persons are unable to secure or increase the income through their own endeavours.

For the purposes of assessing material need, providing for the basic living conditions and assisting in material need the following natural persons are jointly assessed:

- the husband and the wife,
- the parents and their dependent children living with them in the household,
- the parents and their children aged up to 25 years, who have no income, or have an income not exceeding the amount of the minimum wage, living with their parents in the household, with the exception of the children, to whom, during the period of registration as job seekers an entitlement to unemployment benefit arose and the children who are in receipt of invalidity pension.

The claimants do not have to meet job-search or work-availability in order to be eligible for the benefit.

4.2 Calculation of benefit amount

To determine the claim to assistance in material need the subsistence minimum amounts are relevant as they form the basis of the income test. For 2013, these amounts are:

MLS monthly (since 1.7.2012)	
First adult	194,58 €
Second adult	135,74 €
Child	88,82 €
MLS monthly (since 1.7.2013)	
First adult	198,09 €
Second adult	138,19 €
Child	90,42 €

The benefit in material need is payable to a citizen in material need, and the natural persons, jointly assessed with this citizen, in order to secure the basic living conditions at six levels.

The benefits available to a family in material need (since 1st September 2009) are:

- EUR 60, 50 per month for an individual
- EUR 115, 10 per month for an individual with child, or with maximum four children
- EUR 105, 20 per month for a childless couple
- EUR 157, 60 per month for a couple with child or with maximum four children
- EUR 168, 20 per month for an individual with more than four children
- EUR 212, 30 per month for couples with more than four children

The amounts of benefit, referred to above, are increased by EUR 13,50 per month, where the citizen or the natural person, jointly assessed with the citizen in material need, is a pregnant woman. The increase is payable to a pregnant woman from the start of the fourth month of pregnancy, where she has substantiated her pregnancy with the production of a pregnant woman's card and where she regularly visits a pregnant women's advice centre throughout her pregnancy.

The Benefit for person in material need with a child up to one year, EUR 13,50 per month and also for person whose produce that immediately before the birth of this child had provided basic living conditions and assistance in material need. The total calculated amount (see 4.2.1) of benefits and allowances will be increased by this benefit.

The Benefit for a child to ensure their basic living conditions and assistance in material need, if the child fulfils the compulsory school attendance, EUR 17,20 per month. The total calculated amount (see 4.2.1) of benefits and allowances will be also increased by this benefit.

In addition to the benefit in material need the citizen may claim his or her right to the following allowances:

- Health care allowance
- Housing allowance
- Protective allowance
- Activation allowance

Health care allowance

Every applicant and persons who are jointly assessed with this person, who have been awarded the benefit, shall also be payable the health care allowance. The amount of health care allowance is EUR 2 per person monthly.

Housing allowance

The housing allowance is payable only to one citizen in material need and the natural persons who are jointly assessed with this person, and is payable to one address only, provided one of them is

- the owner of an apartment, the owner of a family house, a tenant of an apartment, a tenant of a family house, or a tenant of a room in a facility designed for housing
- and he or she pays the cost relating to housing and presents the document of payment of the cost for the preceding six consecutive calendar months, or substantiates the acknowledgement of the debt and an agreement on down payment, in the event he has payment arrears connected with the coverage of the housing cost.

These conditions are not monitored, if a person in material need or any of the individuals to be a citizen in material need jointly assessed, is the beneficiary of a retirement pension, this is true even if the recipient of a pension benefit or other social pension, who has completed 62 years of age.

The amount of the housing allowance is

- EUR 55,80 monthly, where it involves one citizen in material need
- EUR 89,20 monthly, where it involves a citizen in material need and natural persons jointly assessed with this person.

Activation allowance

Activation allowance is provided to support the acquisition, maintenance or increase of knowledge, professional skills and work habits for a career in the assistance in material need. Activation allowance falls

- a) adults persons in material need and every adult person who is a citizen in material need jointly assessed, they complied with the conditions for entitlement to benefits, unless this Act provides otherwise,
- b) independent not adult children in material need or natural person who is a citizen in material need jointly assessed if you increase the qualifications form part-time, part time learning and study individual subjects or by an external study under paragraph 4. a) or participates in education and training for the labor and satisfying the conditions for entitlement to benefits, unless stipulated otherwise.

The entitlement to activation allowance arises

- to a citizen in material need who is employed, or who is registered as a jobseeker, during the period s/he increases his qualification; participates in education/training; subject to the agreement with the Ministry of Labour, Social Affairs and Family of the Slovak Republic,
- to a citizen in material need who is registered as a jobseeker personally involved in carrying out minor municipal services performed under a written agreement on the implementation of small community services with the municipality or a governmental organization or funded organization, was founded by the municipality in which the citizen is deprived of residence at least 10 hours a week and most 20 hours per week; eligible for activation benefit arises when an agreement on the implementation of small community services include in particular the place of performance and type of small community services, the extent of the small community services, and the implementation period beginning small community services, daily timing for the implementation of the smaller number of hours of community service for hours start and end hours daily time limit implementation of small community services, or be personally involved in carrying out smaller community services and services for small autonomous region performed under a written agreement with the competent authority under a special regulation
- to a citizen in material need who is in receipt of parental allowance, and who studies at a secondary school or university (this does not apply, where the citizen has acquired university education of the second degree).

The amount of activation allowance is 63,07 € monthly.

A long-term unemployed person is also entitled to receive activation allowance, namely

- at an amount of 63,07 € per month for a maximum of 6 months, where s/he starts employment, and before taking up employment was provided basic living conditions and assistance in

material need, and his or her income from dependent activity is at least at the level of the minimum wage, but not more than three-times the amount of minimum wage.

- at the amount of 63,07 € per month for a maximum of six months, where s/he starts self-employment, and before taking up self-employment was provided basic living conditions and assistance in material need.

Activation allowance is not provided by a citizen in material need, or individuals who are a citizen in material need jointly assess if they are contributions under § 48b, § 49a, § 51 and § 52a of Act no. 5 / 2004 Coll z. Employment Services and amending certain laws (see in the annex).

Protective allowance

Protective allowance is payable to a citizen in material need and natural persons jointly assessed with this citizen, where they have satisfied the entitlement conditions and where they are unable to secure their basic living conditions and help themselves in material need, on account of

- reaching the age required for the right to old age pension,
- disability, where the capacity to engage in gainful employment has been reduced by more than 70%
- being a lone parent who personally, on a daily basis, and properly takes care of a child aged up to 31 weeks,
- personal, daily and proper care of a child, or a citizen who, subject to the assessment of the competent authority, is a child or a citizen with severe disability depending of care
- participation in resocialisation programmes.

The amount of protective allowance is 63,07 € per month.

The amount of protective allowance is 34,69 € if a citizen in material need or natural persons jointly assessed with this citizen and their unfavourable health state lasting continuously for more than 30 days, which is established by the relevant attending physician.

The material need benefits as well as the family benefits are regularly increased since September by the government regulation.

4.2.1 Calculation of gross benefit

The mechanism of the calculation of the amount of benefit and allowances is based on determining the difference between the sum of entitlements to the benefit in material need and the allowances to the benefit (health care allowance, housing allowance, protective allowance, and activation allowance, benefit for a child if the child fulfils the compulsory school attendance) and the income. Section 4.2.2 refers to what is regarded as income for the purposes of the calculation of the benefit in material need and the allowances to the benefit.

The amount of material need benefits and allowances are calculated as the difference between the total amounts of claims for benefits and allowances, namely: health care allowance, housing allowance, protection allowance, activation allowance, with the exception of activation allowance for long-term

unemployed and the income of a citizen in material need and individuals who are a citizen in material need be assessed jointly. The amount of material need benefits and allowance are provided in one sum and if the amount of benefits and contributions is less than one euro, benefits and allowances are not paid. The amount of benefits and allowances be increased by 13.50, if a citizen or individual who is a citizen in material need jointly assessed, the parents of the child under one year old.

4.2.1.1 *Irregular additional payments*

4.2.1.2 *Obligations of family members*

If a person in material need and individuals who are a citizen in material need be assessed jointly, not exercise their legal rights, which can provide basic living conditions, to help your material need, are not considered citizens in material need. Legal claims, which can ensure the basic living conditions and help in material need, are: alimony, replacement maintenance, compensation income upon temporary incapacity, sickness insurance, pension insurance, accident insurance, guarantee insurance and unemployment insurance, demands of the employment relationship, security and retirement benefits, state social benefits (such as parental contribution), in addition to child benefit and to one-off state social benefits.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

For the purposes of the calculation of the benefit in material need and the allowances to the benefit, as income is not regarded:

- 25 % of the personal income from dependent activity,
- 25 % of the old-age pension and early old-age pension awarded to a pensioner who has acquired at least 25 years of pension insurance; for every additional year of pension insurance this amount is increased by 1% of the awarded old-age pension and early old-age pension,
- 25 % of the maternity allowance,
- 25 % of the invalidity pension,
- 25 % of the social pension awarded on the ground of disability (=invalidity),
- 25 % of the orphan's pension,
- 25 % of the widow's pension or widower's pension, where the widow or widower reached the retirement age,
- child allowance and supplement to child allowance or benefit of the same kind paid in the Member State of the European Union, in a state that is party to the Agreement on the European Economic Area or the Swiss Confederation, most of the child allowance provided on national level,
- a necessary urgent assistance, which is provided by the municipality, subject to a special regulation,
- the income from casual activities, accidental and one-off incomes, up to double the amount of subsistence minimum, received for 12 months,
- the income of the secondary school pupil and the income of university student, studying full-time, where this income does not exceed 1.2-times the amount of subsistence minimum for a natural adult person,
- scholarship of pupils and students of secondary and tertiary schools,
- compensation of part of travel expenses and compensation of travel expenses of a jobseeker,
- allowance for compensation of travel expenses related to the activities identified in the individual action,
- reimbursement of expenses for board, accommodation and travel of a jobseeker, who is provided education or training for the labour market,

- allowance towards services for the family with children for a jobseeker, who takes care of a child of pre-school age (before commencing compulsory school attendance),
- contribution for the Graduate Practice,
- provision of benefit during education and preparation for the labour market and during preparation to improve the employment prospects of a disabled citizen,
- contribution for job familiarisation for a disadvantaged job seeker,
- 50% of contribution for activation activity in the form of voluntary service,
- support or contribution made by the foundations and civil associations, NGOs and non-investment funds, including non-monetary benefit to the individual purposefully designed to enhance the effects of assistance in material need up to a maximum of 12-times the subsistence minimum obtained in the current year
- employee tax credit and tax credit,
- one-off state social benefits,
- cash benefits for citizens with severe disabilities for compensation of social consequences of their severe disablement, with the exception of the care allowance,
- revenue for providing data for the statistics of family accounts, performed by the Statistical Office of the Slovak Republic
- reward for productive work of the pupil, which in practical training in accordance with the school education program performs productive work
- material provision for the pupil, which is used to cover the cost of his training provide income,
- the remuneration for the performance of the member and the Registrar electoral commission paid
- returned overpayment of income tax and excess to the advance income tax in the amount of not more than 50 euro
- returned overpaid premiums for health insurance in the amount of not more than 50 euro
- the amount of the increase in pension benefits for the period from January 1 to the day preceding the payment date payment of pension benefits in January,
- material provision of volunteer
- reimbursement of expenses for meals, lodging and travel expenses for job seekers to be granted to professional services

4.3 Tax treatment of benefit and interaction with other benefits

The benefit in material need and the allowances to the benefit are exempt from taxation. The interaction with other benefits has been partly covered under section 4.2.2.

4.4 Benefit duration and waiting periods

The benefit in material need and the allowances to the benefit are payable to the citizen on the basis of lawful decision and during the period in which the entitlement conditions last.

4.5 Treatment of particular group

The benefits are provided to all citizens who find themselves in material need.

Since September 15, 2004 the revision of the decree No. 3950/2004-II/1 dated September 7, 2004 of the Ministry of Labour, Social Affairs and Family of the Slovak Republic on providing the subsidies has entered into efficiency. Under this decree it is allowed to provide the subsidy for food, the school utensils and scholarship for the children of the compulsory school attendance who live in the family which is provided with the material need benefit and the allowances to this benefit.

Subsidies are now provided under a decree of the Ministry of Labour, Social Affairs and Family of the Slovak Republic of 26 November 2008 No. 23609/2008-II/1, amending Ordinance of the Ministry of Labour, Social Affairs and Family of the Slovak Republic on 5 December 2007 No. 29775/2007- II / 1 on the granting of subsidies by the Ministry of Labour, Social Affairs and Family of the Slovak Republic. This decree regulates the granting of subsidies to the wider group of children, including children from families whose income is at subsistence level. It also launched a subsidy for scholarship, which was transformed as a benefit to the Act on assistance in material need.

From 1 in January 2011 regulates the provision of subsidies Act. 544/2010.

In terms of the decree may be granted to children who fulfilled compulsory schooling and live in families which benefits are provided benefits in material need and allowances to the material need or their average monthly income for the last six consecutive months (the "income") is most of the subsistence minimum, subsidies for food and school supplies (utensils).

- Subsidies for food for the child may be provided to ensure food for a child in preschool facilities and primary school child in a special primary school (the school). For food, for the purposes of the food subsidy for the provision of lunch and other food. The food subsidy may be granted to the applicant:
 - for every child who attends pre-school or school in which at least 50% of children from families, providing benefits and allowances
 - the individual child who attends pre-school or school and live in the family, which benefits are provided and benefits or whose income does not exceed the amount of subsistence minimum.

Subsidies for food may be granted

- most of 1 Euro per day diet, in which the child attended school or teaching in the educational process in pre-school facility, and it most: about 1 EUR for lunch, by 0.35 EUR to other food,
- Subsidy for school supplies for children can be provided to ensure school supplies for children in the preparatory class in pre-school facility and the child in school. For school supplies for the purposes of subsidies for school supplies regarded books, stationery, textbooks, required individual devices that are directly related to the learning process at school or nursery school children in a preparatory class for pre-school facilities. Subsidy for school supplies can be provided to the applicant:
 - for every child who attends a preparatory class pre-school or preparatory school and class in pre-school facility or school is at least 50% of children from families, providing benefits and allowances
 - the individual child who attends pre-school preparatory classes or school and lived in the family, which benefits are provided and benefits or whose income does not exceed the amount of subsistence.

Subsidy for school supplies can be provided in two parts, most of Euro 33.20 per child for the financial year.

Subsidy for food and subsidy for supplies can be provided by the founder of kindergarten or the founder of the primary school or municipality or civic associations. There are not provided directly to parents of the child.

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. Housing benefits for rented accommodation

From January 2004 the housing benefit was no longer provided as a separate benefit but within the assistance in material need, subject to the Act No. 599/2003 Coll. on assistance in material need (for more detail see section 4 on social assistance).

5.1 Conditions for receipt

5.2 Calculation of benefit amount

5.2.1 *Calculation of gross benefit*

5.2.2 *Income and earnings disregards*

5.2.3 *Costs eligible for housing benefits*

5.3 Tax treatment of benefit and interaction with other benefits

5.4 Treatment of particular groups

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. Family benefits

Within the meaning of the SR legislation, family benefits include: state social support benefits such as child allowance, parental allowance and other allowances of state social support.

6.1 Conditions for receipt

From 1 January 2004 the child allowance has been provided under the Act No. 600/2003 Coll. on child allowance and on amending of the Act No. 461/2003 on social insurance, which repealed the Act No. 281/2002 Coll. and the Act No. 658/2002 Coll.

The entitlement conditions for the receipt of child allowance include:

- a) care of a qualifying person after a dependent child,
- b) permanent or temporary residence of the qualifying person and the dependent child in the territory of the Slovak Republic (without prejudice to the rights within the meaning of (EEC) Regulation 1408/71)

The following qualifying persons could claim the child allowance:

- a) the parent of a dependent child, (in the case of child adoption, from the date of the lawful ruling thereof the adoptive parent is the parent)
- b) a person, who has been entrusted a dependent child in care, substituting parental care, on the basis of a lawful ruling of the competent authority,
- c) a dependent child of lawful age, where there is no parent of the dependent child,
- d) a dependent child of lawful age, where s/he has been provided maintenance obligation from the parents,
- e) a dependent child of lawful age that concluded matrimony,
- f) a dependent child of lawful age, whose matrimony has terminated.

The child allowance is provided at a flat rate, monthly, for every dependent child.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

The child allowance is provided at a uniform amount monthly per 1 child. From January 1, 2013, the Government regulation set the amount of child allowance at EUR 23,10 per child and per month.

In January 2008 an extra allowance for dependent children whose parents are not eligible for the non-wastable child tax credit was introduced (This means that the parents receive pension or early retirement pension or disability pension because of decreasing ability to perform gainful activity by more than 70% or

Reference date for all information is **July 1st 2013**

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of retirement pension or the age required to qualify for retirement). This benefit is paid only for this group of parents, not for all.

From January 1, 2013 the monthly amount of this allowance is EUR 10,83.

6.2.1.1 *Irregular additional payments*

6.2.2 *Income and earnings disregards*

6.3 *Tax treatment of benefit and interaction with other benefits*

The child allowance is exempt from personal income tax.

6.4 *Treatment of particular groups*

6.4.1 *Young persons*

6.4.2 *Older workers*

6.4.3 *Others if applicable*

7. Childcare for pre-school children

Compulsory school attendance starts, as a rule, at the beginning of the school year, following the date on which the child reached the age of six. A child who has not become school mature can have his or her school attendance put off by one year.

7.1 Out-of-pocket childcare fees paid by parents

Full-time childcare

In pre-school facilities which include kindergartens and special kindergartens (establish by local government authorities), parents pay a monthly fee per child to cover part of the costs related to the material provision for the education process in a pre-school facility, up to 7.5 % of the amount of the subsistence minimum for a dependent child. The amount of subsistence minimum is currently laid down under the Act No. 601/2003 Coll. on the subsistence minimum and on amending of some acts, as later amended, at EUR 88,82 for dependent child (July 1st 2012) and EUR 90,42 for dependent child (July 1st 2013). Based on this amount, the upper limit of the monthly fee paid by parents for a child currently must not exceed EUR 6,66 (first half 2013) and EUR 6,78 (second half 2013).

In pre-school facilities which include kindergartens and special kindergartens (establish by municipality), parents pay a monthly fee per child to cover part of the costs related to the material provision for the education process in a pre-school facility. The rate of contribution for the stay of the child in kindergarten founder determined by a regulation, it is up to 15 % of the amount of the subsistence minimum for a dependent child, currently must not exceed EUR 13,3 (first half 2013) and EUR 13,6 (second half 2013).

In addition to monthly fee per child, referred to above, the parent pays for the child's meals in the kindergarten. The amount for meals varies, depending on the actual way of taking meals by the child. Full-day board (morning and afternoon snacks, lunch) will amount to circa 21 € per child. It could be different for some maternity schools (children in age 2-6), it depends of costs for the purchase of food per meal.

The legal representative of child does not pay the monthly fee upon fulfilment of the following conditions:

- the child is one year before the compulsory school attendance,
- if the legal representative of child is recipients of assistance in material need,
- child who is placed in the facility following a court decision

On the base of decision of kindergartens founder (local government authorities or municipality) the legal representative of child does not pay the monthly fee upon fulfilment of the following conditions:

- child has interrupted attendance in kindergarten for more than 30 consecutive calendar days due to illness or family reasons, demonstrably,
- child did not attended the kindergarten at the time of school holidays or adjourned their kindergartens due to the founder or other serious reasons, in such cases the legal representative pay proportion of determining the allowance.

The actual amount of fee, in the stipulated range, is determined by the director of the pre-school facility/ kindergarten or special kindergarten/, with a possibility to have the fee differentiated, for example, according to the number of siblings in the kindergarten, the child's age, duration of stay in the pre-school facility, etc.

The above scales for the fee paid by the parent are laid down in the regulation on pre-school facilities.

The childcare fees paid by parents are not tax deductible.

Fees are not taken into account when determining entitlement to other benefits, including social assistance.

Part-time childcare

The same fee schedule applies to parents who only use childcare part-time, but the other payment may be different in the case of food and other expenses for care that are different and depend on the location where the kindergarten is located.

7.2 Child-care benefits for formal centre-based care

Parental allowance is provided under the Act No. 571/2009 Coll. as amended in the later regulations.

7.2.1 Conditions for receipt

Since January 1, 2011, the entitlement conditions of the qualifying person for receipt of the benefit

- proper care of the parent for at least one child
 - a) up to the age of 3 years or
 - b) up to the age of 6 years, in case of long-term or heavy handicapped child or
 - c) up to the age of 6 years, in case of child who was entrusted into substitute parental care, namely up to 3 years from a valid ruling
- permanent residence or temporary residence in the territory of the Slovak Republic
- Entitled person to receive the parental allowance is
 - child's parent
 - natural person whose child is placed under the care replacing parental care
 - husband / wife, parent, child, if the child lives with parents in the household
- The proper care is the care regarded after a child provided in the interest of the child's physical and mental development, by which the child is given in adequate nutrition, hygiene, and compliance with preventive inspections.

The parent's allowance is providing neither of parents if one of both is eligible for maternity benefit or benefit of sickness insurance or sickness security of the same kind in abroad or contribution to the childcare.

Child Care Allowance

Child care allowance is provided under the Act No. 561/2008 Coll. The state with this allowance contributes to parent or substitute parent on compensation of the child's care expenses. Provides to persons taking care of a child up to the age of 3 years and pursues economic activity, or studies or ensure the care of his/her child by official childcare service provider.

Conditions for receipt:

- entitled person is one of the parents,
- entitled person pursues gainful activity or studies
- permanent or temporary residence of the child and person concerned in the Slovak Republic,
- Childcare is provided by official provider.

Childcare is carried out

- in a family background of the child,
- in the environment intentionally created and modified to perform child care or
- in a family environment of natural persons providing child care.

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

Parental allowance

Since January 1, 2011 is only one amount of parental allowance. From January 1, 2013 the monthly amount of this allowance is 199,60 €.

For parents who have in the care over children who were born at the same time (twins, triplets, etc..) Introduces an increase in the amount of parental allowance by 25% (49,90 €) for each additional child.

If the school-age child is failure to perform compulsory schooling parental contribution amount is reduced by 50%(99,80 €)

If the beneficiary paid for the entire calendar month maternity benefits or comparable benefits as parents in a Member State for an amount less than the amount of parental allowance, EUR 199,60, parental allowance during the period of payment of parent or comparable benefits as parent in the Member State in the amount determined as the difference between the amount of parental allowance, EUR 199,60 and the amount of parent or similar benefits as a parent in a Member State. Child care allowance

Since 2011 amount of the child care per calendar month is

- in the amount of documented expenses authorized person, the most in the amount of 230 €,
- 41,10 € if child care provides a natural person (grandparent ...) and shall be paid a parental allowance or her parent who pursues a professional activity and does not provide child care otherwise.

7.2.2.2 Income and earnings disregards

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Parental allowance is discharge of income tax of physical persons.

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7.2.4 *Treatment of particular groups*

7.3 Child care allowance for children not using child care centers (see above)

If child care is provided by a natural person (grandparent etc.) the monthly amount of child care allowance is only 41,10 €, see above.

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8. Employment-conditional benefits

8.1 Conditions for receipt

8.2 Calculation of benefit amount

8.2.1 Calculation of gross benefit

8.3 Tax treatment of benefit and interaction with other benefits

8.4 Benefit duration

8.5 Treatment of particular group

8.5.1 Young persons

8.5.2 Older workers

8.5.3 Others if applicable

9. Lone-parent benefits

The system of social insurance does not provide a specific benefit designed for a lone parent. If the insured woman is a lone parent, the duration of receipt of maternity allowance (sickness insurance benefit) is extended, continuing beyond the lapse of the stipulated duration of entitlement to receive maternity allowance – 34 weeks; the right to maternity allowance in this case expires upon the completion of 37 weeks from the rise of the right to maternity allowance (in case of other insuree, who has taken the child in care, and is lone, the right to maternity allowance expires upon the completion of 31 weeks from the rise of the right to maternity allowance, but not longer than until completion of 3 years of the child's age).

The government provides support to the lone parent in case the absent parent does not pay the alimonies for more than three months in a row. To be eligible for this support, the lone parent has to be a citizen of the Slovak Republic and their average wage cannot exceed subsistence minimum 2,2 times.

9.1 Conditions for receipt

The legislative act which sets the income limit of 2.2 times the subsistence minimum for lone parents to be eligible for support provided by the government is effective from 2008. The actual amount which the lone parent may receive from the government is 1.2 times the subsistence minimum for a dependent child (subsistence minimum for dependent children was 2 460 SKK in 2008, 84,52 EUR in 2009, 84,61 EUR in 2010, 86,65 EUR in 2011, 88,82 EUR in 2012, 90,42 EUR in 2013 it is re-evaluated annually), but each case is evaluated individually. If the parent does receive the government help, eligibility for the government help is re-evaluated every 6 months.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

The support exists from January 1, 2005. The highest amount a lone parent could receive has always been 1.2 times the subsistence minimum for a dependent child. Subsistence minimum for a dependent child:

January 1, 2005 – June 30, 2005 it was 2080 SKK

July 1, 2005 – June 30, 2006 it was 2150 SKK

July 1, 2006 – June 30, 2007 it was 2270 SKK

July 1, 2007 – June 30, 2008 it was 2340 SKK

July 1, 2008 – June 30, 2009 it was 2460 SKK

July 1, 2009 – June 30, 2010 it was 84,52 EUR

July 1, 2010 – June 30, 2011 it was 84,61 EUR,

July 1, 2011 – June 30, 2012 it was 86,65 EUR,

July 1, 2012 – June 30, 2013 it was 88,82 EUR,

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From July 1, 2013 it is 90,42 EUR.

9.2.1.1 *Irregular additional payments*

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Basic relief: An allowance for all taxpayers is set at 19.2 times the minimum living standard (MLS) for a basic adult as of January 1, 2013 (EUR 3 735.94). In 2013, the basic personal allowance for taxpayers with gross earnings net of employee social security contributions in excess of the threshold of EUR 19 458 per year ($19\,458 = 100 \times \text{MLS}$, which is approximately equal to an employee's monthly gross wage of EUR 1 873) is gradually withdrawn. If gross earnings net of employee social security contributions exceed EUR 19 458, the personal allowance is calculated as 44.2 times the minimum living standard minus 0.25 times gross earnings net of employee social security contributions. The basic personal allowance reaches 0 if the gross earnings net of employee social security contributions amount to EUR 34 401.74 per year (employee's monthly gross wage of approximately EUR 3 311). The value of the basic tax allowance cannot become negative.

The degressive tax allowance is taken into account only once a year (when the tax return is filed or when the annual clearing is performed). Monthly tax prepayments during the year are therefore not affected.

Marital status relief: An additional allowance is given to the principal earner in respect of a spouse living in a common household if the spouse earns no more than EUR 3 735.9. As from January 1, 2007 the value of the spouse allowance depends on the gross earnings net of employee social security contributions of both principal and spouse. As of 2013, to be entitled to spouse allowance one of the following conditions should be met:

- spouse is taking care of (not necessarily personally) children up to 3 years (or up to 6 years if child is disabled) or
- spouse is unemployed or
- spouse is receiving nursing allowance or
- spouse is disabled.

If the principal's gross earnings net of employee social security contributions in 2013 are lower or equal to EUR 34 401.74 ($= 176.8 \times \text{MLS}$) and the spouse's gross earnings net of employee social security contributions are lower than EUR 3 735.94, the spouse allowance is calculated as the difference between 19.2 times MLS and the spouse's gross earnings net of employee social security contributions. If the gross earnings net of employee social security contributions of the spouse exceed EUR 3 735.94, the spouse allowance is 0. If the principal's gross earnings net of employee social security contributions exceed EUR 34 401.74 ($= 176.8 \times \text{MLS}$), the spouse allowance is calculated as 63.4 times MLS minus 0.25 times the principal's gross earnings net of employee social security contributions. This amount is reduced by the spouse's gross earnings net of employee social security contributions. The value of the spouse allowance cannot become negative.

The digressive tax allowance is taken into account only once a year (when the tax return is filed or when the annual clearing is performed). Monthly tax prepayments during the year are therefore not affected.

- Relief for social and health security contributions: Employee's social security contributions are deductible for income tax purposes.

10.1.1.2 Standard tax credits

Relief for children: The prior allowance for children has been replaced by a non-wastable tax credit as from January 2004. As from July 2007, the monthly tax credit is indexed as result of a new indexation rule. The tax credit is automatically indexed by MLS growth and is effective as from the 1st of July when also the new amount of MLS comes into force. During the period from 1st January to 30th June 2013 monthly tax credit was EUR 21.03 per child, from 1st July 2013 the amount of tax credit is EUR 21.41 (the annual amount will be EUR 254.64). The tax credit for each dependent child is deducted from the tax liability; if the credit exceeds the tax liability, the excess will be paid to the taxpayer. In order to receive this credit, the parent must annually earn at least 6 times the minimum monthly wage, which for 2013 is set at EUR 337.7 (the total annual earnings must therefore be at least EUR 2 026.2). The credit can be taken only by one partner. It can be taken by one partner for part of the tax period (year) and by the other partner for the rest of the tax period (year); this choice will have to hold for all dependent children. (For the purposes of this Report, it is assumed that the credit is claimed by the principal wage earner).

- Non-wastable tax credit – the employee tax credit (ETC) is effective as from 1.1.2009 and is targeted at low-income workers whose wages are subject to the payment of social and health insurance contributions. The amount of tax credit depends upon the employee's earnings and the number of months worked.

In order to receive this tax credit, the employee must fulfil the entitlement criteria which are:

- the employee's earnings over the tax period must be at least 6 times higher than the minimum wage, which for 2013 is set at EUR 337.7 per month,
- the employee must have worked for at least 6 months over the tax period (the conditions of month worked is considered to be fulfilled when only one hour is worked during that month).

The ETC is a non-wastable tax credit as is the child tax credit. The value of the ETC depends on the level of the employee's earnings. If earnings are between at least 6 times of the minimum wage and 12 times of the minimum wage, the credit is calculated as 19 per cent of the difference between the basic allowance (EUR 3 735.94) and the tax base (gross earnings net of employee SSC), evaluated at the level of the minimum wage (EUR 3 509.76). If earnings exceed 12 times the minimum wage, then the ETC is calculated as 19 per cent of the difference of the basic allowance and the tax base (gross earnings net of employee SSC). The tax credit is zero when the tax base (gross earnings net of employee SSC) is equal to or higher than the basic allowance.

The highest value of the employee tax credit amounts to EUR 42.98 per year; this maximum value is received by employees with income between one half of the minimum wage and the full minimum wage, provided that the employee has worked for 12 months. As the employee tax credit is designed to benefit working individuals, its amount is adequately reduced for employees that have worked less months in the calendar year. Due to extensive paperwork it was decided that the tax credit will be paid within the framework of the annual clearing of the tax advances or when a tax return is filed.

10.1.2 *Income tax schedule (central government income tax)*

As from 2013 the previous flat tax rate of 19 per cent was replaced by new tax schedule with two tax brackets. The ceiling for the first bracket is set out as 176.8 times MLS (equal to EUR 34 401.74) what secure its automatic indexation. The tax schedule is as follows:

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Annual taxable income (EUR)*	Rate (%)
0–34 401.74	19
34 401.74 and over	25

* Employee's social security contributions (see 1.12.) are deductible for income tax purposes.

10.1.3 *State and local income taxes*

No separate state and local income tax exist.

10.2 *Treatment of family income*

The tax unit is the individual.

10.3 *Social security contributions and payroll taxes*

10.3.1 *Contributions payable by employees and benefit recipients*

Unemployment insurance is mandatory also for part-time employees. Act on Social Insurance defined monthly minimum assessment base for paying contributions for full-time employees and voluntary insured person. Monthly minimum assessment base was minimum wage. For employee who has appointed partial time in his/her labour contract according to the Labour code (§ 49) this monthly minimum assessment base was not applicable that means he has real monthly assessment base (could be lower than monthly minimum wage). Since 1st January 2010 Act on Social Insurance was renewed. The provision which established the minimum assessment base of employee as minimum wage was canceled. The monthly minimum assessment base of all categories of employees (part-time, full-time, etc.) is employee's real monthly wage. The minimum monthly assessment base of self employed persons and voluntary insured persons changed from minimum wage to 50 % of average monthly wage two years ago since 1st January, 2012.

Compulsory contributions of 13.4 per cent of gross wages and salaries are paid by all employees into government operated schemes. The total is made up as follows:

-- Health Insurance	4.0 per cent
-- Social Insurance	9.4 per cent
of which:	
-- Sickness	1.4 per cent
-- Retirement	4.0 per cent
-- Disability	3.0 per cent
-- Unemployment	1.0 per cent

There are maximum assessment bases MSSAB (maximum threshold for contributions to apply) that apply to social security contributions. From 2004 these MSSAB are no longer fixed values but depend upon the average wages (AW).

The latest amendment of the Social insurance Law, which is valid from 1st January 2011 adjusted formulae for calculation of MSSAB for retirement, disability and unemployment insurance. Since January 2012 maximum assessment bases for all types of insurance (except accident insurance) have been increased to five times the average wage in the national economy. Average monthly MSSAB for retirement, disability, unemployment, sickness and health insurance are calculated as: $5 \times AW(t-2)$. Where $AW(t-2)$ is

the average wage two years ago. The average wage (AW) is determined by the Statistical Office of the Slovak Republic– for 2011 it is EUR 786 per month.

The assessment base for a full-time employee is his real monthly wage (also if actual wage in particular month is lower than minimum wage (e.g.: due to sickness). Since January 1st 2010 were the exceptions in minimum assessment base (of disabled employees, etc.) cancelled.

10.3.2 Contributions payable by employers

The total contribution for employers is 35.2 per cent of gross wages and salaries. The contribution comprises the health insurance contribution (10 per cent of gross wages and salaries) and the social insurance contribution (25.2 per cent). The social insurance rate reflects contributions to sickness insurance (1.4 per cent), disability insurance (3 per cent), retirement insurance (14 per cent for non-saver or 10 per cent for saver in the pension saving), the Guaranteed Fund (0.25 per cent), accident insurance (the same accident insurance rate of 0.8 per cent is applied to all employers until the end of 2013; the rate will range from 0.3 to 2.1 per cent as from 2014 depending on the category of risk associated with the employer's activities), for unemployment (1 per cent) and to the Reserve Fund (4.75 per cent). All contributions are rounded down on two decimal places.

Since January 2005, Slovakia has introduced the privately managed fully funded pillar. This means that a given proportion (firstly 9 percentage points, from 1st September 2012 4 percentage points, but from 2017 it will be raised each year by 0.25% to a target level of 6%) of social contributions paid by the employer for retirement insurance flows directly to the private pension funds and not to the Social Insurance Agency as in previous years. Until 2017, there is a possibility of voluntary contributing to the second pillar with tax allowances up to 2 percent of the tax base. Private pension funds are treated outside of general government; these contributions are therefore not taken into account in the calculations of average and marginal tax rates. For the purposes of this Report, the total contribution rate for employers is then 31.2 per cent to the Social Insurance Agency including health insurance and 4 per cent to the private pension funds.

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The MSSAB also applies to the employer's SSC. The next table presents the annual values of MSSAB:

	Formula for MSSAB	Value of MSSAB (2012)
- Health Insurance	5.0 x AW (t-2)	47 160.00
- Social Insurance		
of which:		
-- Sickness	(5.0 x AW (t-2))	47 160.00
-- Retirement	(5.0 x AW (t-2))	47 160.00
-- Disability	(5.0 x AW (t-2))	47 160.00
-- Unemployment	(5.0 x AW (t-2))	47 160.00
-- Accident		No limit
-- Guarantee fund	(5.0 x AW (t-2))	47 160.00
-- Reserve fund	(5.0 x AW (t-2))	47 160.00

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10.3.3 *Payroll taxes*

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

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11. Part-time work

11.1 *Special benefit rules for part-time work*

They have same eligibility criteria for benefit, payment rate and benefit duration as applicable for full-time workers.

11.2 *Special tax and social security contribution rules for part-time work*

The monthly minimum assessment base of all categories of employees (part-time, full-time, etc.) is since January 1st 2010 employee's real monthly wage.

12. Policy developments

The most important changes in the field of unemployment insurance have been effectual since January 1st, 2008.

12.1 Policy changes introduced: 2nd July 2012 – 1st July 2013

12.2 Future policy changes announced since 1st July 2013

As from September 2012 pension sharing scheme has been changed. Employer's retirement contribution rate to the fully funded pillar has been reduced from 9 per cent to 4 per cent (for more see pension contribution sharing scheme table below). The effective employer's retirement contribution rate will therefore increase from 5 per cent in 2011 to 6.67 per cent in 2012 and to 10 per cent in 2013

SSC: Pension - contribution sharing in case of II. pillar participation			
Period	Percentage of gross earnings		
	I Pillar	II Pillar	Total
Previous system (up to September 2012)	9% (5% employer + 4% employee contribution)	9% (employer contribution)	18%
Current system (from September 2012)*	14% (10% employer + 4% employee contribution)	4% (employer contribution)	18%

* As from 2017 contribution rate to the II. pillar will automatically increase by 0.25 p.p. per year (i.e. contribution rate to the I. pillar will decrease in the same volume)

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.